

Business Responsibility Report (BRR)

[As per Regulation 34(2)(f) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

SECTION A - GENERAL INFORMATION ABOUT THE COMPANY

Sr. No.	Questions	Response
1.	Corporate Identity Number (CIN) of the Company	L31900MH2015PLC262254
2.	Name of the Company	Crompton Greaves Consumer Electricals Limited
3.	Year of Registration	25/02/2015
4.	Registered Address	Tower 3, 1 st Floor, East Wing, Equinox Business Park, LBS Marg, Kurla (West), Mumbai - 400 070
5.	Website	www.crompton.co.in
6.	Telephone Number	+91 2261678499
7.	Email ID	crompton.investorrelations@crompton.co.in
8.	Financial Year Reported	2021-22
Products/Services		
9.	Sector(s) that the Company is engaged in (industrial activity code-wise)	1. Electrical Consumer Durables (27501, 27502, 27503, 28132) 2. Lighting Products (27400)
10.	List three key products / services that the Company manufactures / provides (as in the balance sheet)	1. Electrical Consumer Durables - Fan, Appliances and Pumps 2. Lighting Products - Luminaires and Light Sources
Operations		
11.	Total number of international locations where business activity is undertaken by the Company	The Company had no foreign locations for the period under reporting.
12.	Total number of National locations where business activity is undertaken by the Company	The Company has 8 Factories, 4 Regional Offices and 23 Branch Offices.
13.	Markets served by the Company - Local / State/ National / International	The Company's products are sold throughout India, as well as in Nepal, Sri Lanka, Singapore, Fiji, the United Arab Emirates, Oman, Saudi Arabia, Bahrain, Iraq, Kuwait, Qatar, South Africa, Kenya, Ghana, Equatorial Guinea, Uganda, Italy, Chile, Bangladesh, Senegal, and Yemen.

SECTION B - FINANCIAL DETAILS OF THE COMPANY

Sr. No.	Questions	Response
1.	Paid up Capital	₹ 126.68 crore
2.	Total Turnover	₹ 5,453.10 crore
3.	Total profit after taxes	₹ 593.48 crore
4.	Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	2.08%
5.	List of activities in which expenditure in 4 above has been incurred: -	• Skill Development • Water Conservation • Community Development • Promotion of Health and Response to COVID-19 Pandemic

SECTION C - OTHER DETAILS

1. Does the Company have any Subsidiary Company/Companies?

Yes, the Company has four subsidiary Companies in India:

- (i) Nexustar Lighting Project Private Limited;
- (ii) Pinnacles Lighting Project Private Limited;
- (iii) Crompton CSR Foundation;
- (iv) Butterfly Gandhimathi Appliances Ltd. (BGMAL)

2. Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent Company? If yes, then indicate the number of such subsidiary Company(s)

The subsidiaries of the Company define their own initiatives based on their operations. Crompton, as the parent business, gives access to relevant information and expertise. Crompton CSR Foundation, one of the Company's subsidiaries, carries out Company's CSR initiatives.

3. Do any other entity/entities (e.g., suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

The Company has a long-lasting relationship with its Suppliers/Vendors and has aligned, its policies and guidelines on sustainability, with them. Some of the initiatives taken have been as follows:

- significant amount of awareness is being created on sustainability among the Vendors;
- continued training is being imparted to all Strategic Vendors on Energy, Health and Safety; and
- skill enhancement sessions are being conducted at Vendor locations to build organisational capability and improve performance standards.

The Company has created a Vendor Code of Conduct which is mandatory for all its vendors to adhere to. During vendor on boarding, VQP (Vendor Quality Procedure) assessment is carried out for all the vendors. A vendor needs to fulfill certain basic minimum compliances during the screening process to qualify as a vendor for Crompton.

SECTION D - BUSINESS RESPONSIBILITY INFORMATION

1. Details of Director/Directors responsible for BR

a. Details of Director/Directors responsible for the implementation of the BR policy/policies

Sr. No.	Particulars	Details
1.	DIN Number	00059877
2.	Name	Mr. Shantanu Khosla
3.	Designation	Managing Director

b. Details of the BR Head

Sr. No.	Particulars	Details
1.	DIN Number (if applicable)	02922413
2.	Name	Mr. Mathew Job
3.	Designation	Executive Director and Chief Executive Officer
4.	Telephone number	+91 22-61678499
5.	e-mail id	mathew.job@crompton.co.in

2. Principle-wise (as per NVGs) BR Policy/policies (Reply in Y/N)

Sr. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy/policies for.	Y	Y	Y	Y	Y	Y	Y	Y	Y
2.	Has the policy been formulated in consultation with the relevant stakeholders? (Note: While there may not be formal consultation with all stakeholders, the relevant policies have been drafted after taking inputs from concerned internal stakeholders.)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3.	Does the policy conform to any national / international standards? If yes, specify? (50 words)	The Company's Business Responsibility policies are compliant with the Code of Conduct, as well as all applicable laws and regulations. The policies are written in accordance with the relevant regulatory requirements.								
4.	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/ appropriate Board Director?	The Board of Directors approves all statutory policies, and the respective Business/Function head signs all other policies.								
5.	Does the Company have a specified committee of the Board / Director / Official to oversee the implementation of the policy?	Yes, the implementation and adherence to the Policies are overseen as stated: i. ESG Committee was constituted during 2021-22 to support the Company's on-going commitment to environmental, health, safety, corporate governance, sustainability, and other public policy matters. It has three members with Chairman being one of them. ESG committee met twice in F.Y. 2021-22. ii. Code of Conduct - Human Resources Department iii. Corporate Social Responsibility Policy - CSR Committee (as per Companies Act, 2013 and Rules framed thereunder) iv. Energy Health and Safety Policy - The Chief Executive Officer v. Customer Service/Complaints - Designated After-Sales Service Centres (Customer Delight being one of the Company's core values).								
6.	Indicate the link for the policy to be viewed online?	Please refer to the links in the table below								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	The Company's Code of Conduct, CSR Policy, Vigil Mechanism and Whistle Blower Policy, and Prevention of Sexual Harassment Policy can all be found on its website. Other stakeholder-specific policies, such as the Company's Environment, Health and Safety, and Human Resources policies, are published on the Company's internal portal and disseminated to relevant stakeholders for reference. The ESG Charter of the Company is also available on the website of the Company.								

Sr. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
8.	Does the Company have in-house structure to implement the policy/policies?	Yes. There are committees and departments responsible for implementing these policies. Code of Conduct - Human Resource Department CSR Policy - CSR Committee Vigil Mechanism - Legal and Secretarial Team Whistle Blower - Legal and Secretarial Team POSH - Legal Team EHS Policy - ESG Committee								
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Yes, Crompton has a system in place for reporting and resolving stakeholder complaints. The Company's Whistle Blower Mechanism, Ethics Line, allows employees and vendors to submit any concerns or issues about prospective or actual Code of Conduct violations. Consumer Care Line is a client complaint method that captures customer complaints about product quality, service, and other issues. For the resolution of investor complaints, the Company has an exclusive e-mail address. Investors can send their complaints to Crompton at crompton.investorrelations@crompton.co.in. Any member of the public can contact the Company at legal@crompton.co.in to report a problem. Suppliers can also follow up with corporate representatives, and any issues that arise are forwarded to the appropriate department.								
10.	Has the Company carried out an independent audit/evaluation of the working of this policy by an internal or external agency?	Internal and external auditors, where needed, assess these policies during their audits and reviews. However, no formal evaluation by any internal or external agency has been conducted.								

3. Governance related to BR

1. **Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year?**

Annually

2. **Does the Company publish a BR or a Sustainability Report?**

The information on BR is published in the Annual Report, which is available on the Company's website. The Company is voluntarily releasing its F.Y. 2021-22 Sustainability Report.

3. **Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?**

The Company publishes the information on BR in the Annual Report which is available on the website of the Company.

4. **How frequently it is published?**

Annually

Linkages of various Company policies with BR Principles as per National Voluntary Guidelines (NVGs)

Principle No.	Principle	Reference Document	Reference Links
1.	Business should conduct themselves with ethics, transparency, and accountability	- Code of Conduct - Vigil Mechanism and Whistle Blower Policy - Code of Conduct to Regulate, Monitor and Report trading by Insiders - Prevention of Sexual Harassment Policy	https://www.crompton.co.in/media/Crompton-Code-of-Conduct.pdf https://www.crompton.co.in/wp-content/uploads/2020/05/Vigil-Mechanism-and-Whistleblower-Policy.pdf https://www.crompton.co.in/wp-content/uploads/2020/05/Crompton-Code-of-Conduct.pdf https://nfs.crompton.co.in/assets/wp-content/uploads/2021/12/December-2021-Updated-POSH-Policy.pdf
2.	Business should provide goods and services that are safe and contribute to sustainability throughout their lifecycle	Environment, Health and Safety Policy	https://www.crompton.co.in/media/EHS-Policy.pdf
3.	Business should promote wellbeing of employees	- Code of Conduct - Environment, Health and Safety Policy - Maternity Leave Policy	https://www.crompton.co.in/wp-content/uploads/2020/05/Crompton-Code-of-Conduct.pdf https://www.crompton.co.in/media/EHS-Policy.pdf - Maternity leave is in compliance with Maternity Benefits Act 2017 and has been hosted on the Company's employee portal.
4.	Business should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized	- Code of Conduct - Corporate Social Responsibility Policy	https://www.crompton.co.in/wp-content/uploads/2020/05/Crompton-Code-of-Conduct.pdf https://www.crompton.co.in/wp-content/uploads/2021/03/Corporate-Social-Responsibility-Policy.pdf
5.	Business should respect and promote human rights	Code of Conduct	https://www.crompton.co.in/wp-content/uploads/2020/05/Crompton-Code-of-Conduct.pdf
6.	Business should respect, protect, and make efforts to restore the environment	- Corporate Social Responsibility Policy - Environment, Health and Safety Policy	https://www.crompton.co.in/wp-content/uploads/2021/03/Corporate-Social-Responsibility-Policy.pdf https://www.crompton.co.in/media/EHS-Policy.pdf
7.	Business when engaged in influencing public and regulatory policy, should do so in a responsible manner	- Code of Conduct - Product Service Policy	https://www.crompton.co.in/wp-content/uploads/2020/05/Crompton-Code-of-Conduct.pdf - The Company framed the Product Service Policy internally and has circulated the same amongst the Product Service centres for adherence.

SECTION E - PRINCIPLE-WISE PERFORMANCE

Principle 1: BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH ETHICS, TRANSPARENCY AND ACCOUNTABILITY

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes / No. Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

The Company is committed to adhere to the highest standards of ethical, moral, and legal code of conduct for business operations. Crompton's behavioural framework is built upon five Value pillars i.e., Personal Leadership, Courage, People Development, Innovation and Execution Excellence.

To emphasize on the values of transparency, ethical behaviour, empowerment and accountability, the Company has formalized the 'Code of Conduct' for Directors and all employees of the Company. The Code lays down principles and standards that govern the actions of the employees during conduct of the Company's business. It covers all dealings with vendors, customers, and other business partners. Any actual or potential violation of the Code, howsoever insignificant, would be a matter of serious concern for the Company. The Company's induction programme for new joiners mandates initiation to the Crompton Code of Conduct.

The Company has introduced the e-learning tool on POSH, Whistle Blower Policy and Code of Conduct for all regular employees of the Company. The Company has also introduced the e-learning tool on Prohibition of Insider Trading for all the designated persons of the Company.

The Company has established mechanisms to receive and address complaints from different stakeholders including Investors, Customers, Consumers, Employees and Suppliers.

The Company has laid down a Vigil Mechanism for Employees, Directors and Vendors to report concerns on any unethical behaviour, actual or suspected fraud or any violation of the Company's Code of Conduct. The Whistle Blower Policy facilitates employees and vendors to report without fear, any wrongdoings, unethical or improper practice.

The Company has formed a separate Stakeholders' Relationship Committee to address shareholder grievances. The Company has an exclusive e-mail id for redressal of investor grievances. Investors can email at crompton.investorrelations@crompton.co.in to lodge their complaints. All shareholder complaints received during the reporting year have been resolved successfully as on 31st March, 2022.

To address workplace-related issues, the senior management team has periodic interactions, including open houses with employees at different locations. The Managing Director and Executive Director & Chief Executive Officer receive feedback from employees across the country through specially instituted mechanisms.

The Company has implemented an IT tool that helps track statutory compliances as close as possible to the actual due date. Any deviations are highlighted for prompt corrective actions. Functional owners are responsible for taking preventive actions. This web-based compliance management system not only helps adhere to the regulatory requirements, but also develops a culture of self-regulation and accountability within the organization. In the present times, when governance is looked upon as a critical aspect of sustainability, the Company believes that its compliance management system plays a significant role in ensuring good corporate governance practices.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?

During the year under review, the Company received 01 complaint from its shareholders which was promptly resolved. The details of the complaints are:

Sr. No.	Complaints Received	No. of Complaints
1	Non-receipt of Annual Report	0
2	Non-receipt of Securities	0
3	Non-receipt of Dividend Warrants	0
4	Escalation to SEBI	1
5	Escalation to Stock Exchange	0
	Total	1

Principle 2: PRODUCT LIFE CYCLE SUSTAINABILITY

BUSINESS SHOULD PROVIDE GOODS AND SERVICES THAT ARE SAFE AND CONTRIBUTE TO SUSTAINABILITY THROUGHOUT THEIR LIFECYCLE

1. List three products or services whose design has incorporated social or environmental concerns, risks and/or opportunities

The Company emphasizes on energy efficiency while designing all its products.

Some of the products whose design has incorporated social or environmental concerns, risks and/or opportunities are:

- i) Quantum series of pumps with BEE star ratings
- ii) Arno Neo Water heaters
- iii) Sol Aura storage Water heaters
- iv) Rapid Jet instant water heater
- v) High energy efficient street, flood and industrial lights
- vi) 5 star rated bulbs
- vii) 5 star rated water heaters
- viii) Energy Efficient fans using BLDC technology.
 - a. SilentPro Blossom - with 42 W consumption
 - b. Energion Roverr
 - c. Energion Groove - 32 W
 - d. Energion Groove - 28 W
 - e. Energion Riviera - 33 W

2. For each such product, provide the following details in respect of resource use (energy, water, raw material, etc.) per unit of product (optional):

- i) Quantum series of pumps launched for residential and agricultural applications have highest star ratings given by 1. BEE (5 Star) which has almost 40% more efficiency than normal ISI pump.
- ii) The Company launched an energy-efficient range of Storage Water Heater which is designed in such a way to get maximum 5 BEE star rated product with proper insulation and better-quality Thermostat for Temp sensing.
- iii) These 5 Star Rated products save up to 46% on energy bills for the consumer as compared

to 1 Star rated Storage Water Heater for their respective capacity.

- iv) Company put more focus to introduce 6 Litre - 5 Star BEE rated SWH to move Instant water heater consumers to Storage Water heater, which results in saving of energy.
- v) Launched bulbs complying to revised 5 star rated bulbs.
- vi) New enhanced BEE star rating and greater than 140 lumen per watt infrastructural and industrial lights that results in greater than 10% higher energy efficient over the existing portfolio and optimized material content.
- vii) Pumps launched for residential and agricultural applications have highest star ratings given by BEE (5 Star) which has almost 40% more efficiency than normal ISI pump.
- viii) The Company launched an energy-efficient range of Storage Water Heater which is designed in such a way to get maximum 5 BEE star rated product with proper insulation and better-quality Thermostat for Temp sensing.

These 5 Star Rated products saves up to 46% on energy bills for the consumer as compared to 1 Star rated Storage Water Heater for their respective capacity.

- ix) Fans with BLDC technology in Silentpro (42W), Energion series (28-35W) are all saving energy in the range of 50-60% against traditional fans which consumes 75-80W.

3. Procedures in place for sustainable sourcing (including transportation) and percentage of inputs sourced sustainably.

(i) Sustainability Roadmap

The Company has been continuously striving to enhance sustainability associated with its sourcing practices.

The sustainability roadmap of the Company includes association with strategic suppliers and creating, common supplier base for different product lines, sourcing from tightly knit clusters, optimising logistics to reduce fuel consumption, emissions and carbon footprint, re-working packaging to minimise wastage and re-use.

(ii) Supply Chain Partnering

Sustainability is extended to vendors through responsible procurement practices and selection criteria focussed on the protection of the environment, societal interest seeking resource efficiency and improving the quality of products and services. The Company is committed to improving awareness among Vendors, on legal compliances, enhance eco-efficiencies, employee health and safety through various initiatives.

Vendors and service providers are encouraged to adopt management practices detailed under the International Standards such as ISO 9001, ISO 14001, OHSAS 18001 and other Environment, Health and Safety (EHS) guidelines. New vendor development process consists of stringent adherence check against EHS, and statutory and legal norms laid under State Factory Acts. Existing vendors undergo periodic EHS assessments as a part of routine audits and are required to demonstrate sustenance for business continuity. Contract manufacturing agreements provide for compliance with accepted standards on issues related to EHS and labour practices.

(iii) Distribution and Logistics

An efficient distribution network is an asset to any industry and is one of the key contributors to sustainability and profitability. The Company has strategically created storage locations and introduced Warehouse Management System practices for finished goods across the country for quick and easy serving and better transparency of stocks. Towards the same, the Company has been able to reduce the primary distance travelled via significantly optimizing the warehouse footprint across the country and leveraging GST implementation. The Company does not allow any vehicles which are not having valid documents, including PUC certificates inside the factory, nor use them for transportation purpose. Import substitution across products and components in Lighting and Fans has been initiated.

The Company uses managed centralized print services, with the help of password authentication, which minimize usage of paper and ink.

4. Steps taken to procure goods and services from local and small producers, including communities and capability building initiatives, undertaken for local and small vendors.

The Company encourages the procurement of goods and services from local and small producers surrounding its plant locations. The contractors, engaged in the plants, mostly employ workmen from the nearby villages.

Vendor selection is determined by the following factors:

1. Capability, quality, performance, and on-time delivery.
2. Compliance to legal, environment, health, and safety guidelines.
3. Readiness to participate in sustainable supply chain management programme; and
4. Total landed cost competitiveness.
5. Financial strength by viewing last two years balance sheets.

The Company collaborates with its strategic vendors and partners in developing their product and technical skills. It also engages with them through various training and development initiatives at regular intervals, makes frequent visits to Vendors' factories and conducts impactful workshops to reward and recognize their contribution through scorecard assessments, etc.

The Company signifies and trains its vendors to meet the EHS requirements across all its plant locations.

This practice is not only greatly improving the Vendor efficiency but also considerably reducing the Company's carbon footprint.

In addition to this, the Company widely promotes vocational skills, development, and training programmes to improve the livelihood of the neighboring community.

5. Mechanism to recycle products and waste and the percentage of recycling of the products and waste (separately as <5%, 5-10%, >10%)

The Company adopts comprehensive Environment Management Practices to focus on the conservation of natural resources across all its operating units. It has stringent waste management policies for internally

generated wastes. Solid waste/sludge from Water and Waste treatment plants and Process waste from the factories, is disposed in a controlled manner into the Government-approved Common Hazards Waste Treatments Storage and Disposal Facility (CHWTSDF).

Principle 3: EMPLOYEES' WELLBEING

BUSINESSES SHOULD PROMOTE THE WELL-BEING OF ALL EMPLOYEES

The Company lays a huge impetus on the well-being of all its employees. It emphasizes on creating a stimulating work environment to enable employees to learn, develop, thrive, and deliver best performance aligned with the Company's objectives. The Company continuously strives to positively influence the employees to remain engaged and committed as follows:

- a) Ensuring no job or salary cuts due to pandemic provided a sense of financial and mental security to employees.
- b) Adopted flexible work policy.
- c) Industry-leading safety protocols and tools (incl. AI-enabled devices to track contacts with Corona infected employees).
- d) Significantly enhanced benefits around hospitalization.
- e) On-line free medical consultation, and provision of medical support (such as Oxygen concentrators).
- f) Employee Assistance programmes with trained psychologists.
- g) Deep-embedded employee engagement programmes (often involving family members).
- h) Initiatives around work-life balance.
- i) Organization-wide movements around employee physical fitness.
- j) Programmes centred around stress, positive intelligence, etc.
- k) Free vaccination programmes for employee and family members (incl. indirect employees).
- l) Extensive 1-1 and small group connect programmers' leaders and managers.
- m) Paying salaries ahead of time.
- n) Deployment of value-added processes such as career conversations and development.

The Company provides overriding priority to Employee Safety. It is committed to building a safety culture by implementing Behaviour-Based Safety through trainings and workshops, recording workplace hazards, conducting scheduled Fire-Safety Audits (in-house), strict adherence to Work Permit System (WPS) and Daily Toolbox talks, etc.

Regular interaction is maintained through Safety Committee meetings with all associates. Fire-Safety Drills, Safety Week Celebration and continuous Safety training to all employees begin with adequate induction. Internal and cross plant safety audits are conducted too. All actions and recommendations are being recorded and evaluated by respective EHS leaders. This monitoring has a major role in reducing workplace hazards/incidents and making Crompton, a Zero-accident organization.

The organization has identified scenario-based emergency preparedness plans to counter specific emergencies. On a regular basis, mock tests and drills are planned and executed to ensure Emergency Response Team members are quick to respond to any situation.

Safety standards are monitored through a focus on appropriate safety control, elimination of unsafe activities, providing better replacement methods and installation of foolproof engineering solutions (Poka-Yoke).

1. Please indicate total number of employees.

The total number of employees including contract labour and trainees were 4,503.

2. Please indicate the Total number of employees hired on temporary/contractual/casual basis

The total number of employees hired on temporary/contractual/casual basis as on 31st March, 2022 was 2,493. In the previous year, there were 2,305 contractual employees.

3. Please indicate the Number of permanent women employees.

The total number of permanent women employees was 158. In the previous year, there were 157 permanent women employees.

4. Please indicate the Number of permanent employees with disabilities.

The Company has 6 permanent employees with a disability.

5. Do you have an employee association that is recognized by management?

Employees' rights to free association, union membership, and representation are respected by

the Company. Employee unions exist in Ahmednagar, Vadodara, Bethora, and Kundaim, and they encourage employees to engage in open and constructive communication with management.

6. What percentage of your permanent employees is members of this recognized employee association?

All permanent blue-collar employees in the manufacturing units in Ahmednagar, Vadodara, and Goa are members of trade unions/employee associations, accounting for 86 percent of the workforce.

7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year

In F.Y. 2021-22, no incidences of child labour, forced labour, involuntary labour, or discriminatory employment were recorded.

During the year, there was one complaint of sexual harassment that was resolved. At the end of the current fiscal year, there were no outstanding complaints.

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

1. Permanent employees - 85%
2. Permanent women employees - 85%
3. Casual/temporary/contractual employees - 75%
4. Employees with disabilities - 100%

Principle 4: STAKEHOLDER ENGAGEMENT

1. Has the Company mapped its internal and external stakeholders?

Yes, the key stakeholders and mode of communication with them are shown below:

Stakeholders	Mode of Engagement
Government and Regulatory Authorities	Industry bodies/forums, direct interactions
Employee	Meetings, newsletters, employee, satisfaction surveys and trainings
Customers	Customer meets and visits by Company officials
Investors and Stakeholders	Investors meet, annual general meeting and annual report

Stakeholders	Mode of Engagement
Suppliers	Site visits and personal/ telephonic interactions
Trade Unions	Works Committee, Grievance Committee and Union Meetings
Dealers and Community/Society	Meetings & Trainings

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?

Yes. Disabled employees, rural communities, and persons from economically challenged backgrounds in and near the Company's operations are among the disadvantaged and vulnerable stakeholders.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders? If so, provide details thereof, in about 50 words or so.

Differently abled, marginalized, rural populations, and those from economically disadvantaged backgrounds are all given equal opportunity by the Company. Equal opportunities for advancement are provided to all employees.

The Company's CSR initiatives included skill development for 30 differently abled individuals in Gurugram, as well as the establishment of a scholarship fund for underprivileged students as part of its CSR programme.

Principle 5 - HUMAN RIGHTS

BUSINESS SHOULD RESPECT AND PROMOTE HUMAN RIGHTS

1. Does the policy of the Company on human rights cover only the Company or extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?

The Code of Conduct applies to all Company employees. The issue of human rights is addressed during the vendor selection process and in the contracts with vendors. The Company's Vigil Mechanism and Whistleblower Policy extends to its vendors and ensures that any violations of its Code of Conduct (including human rights violations) are dealt with objectively.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management

No complaint was received from stakeholders under the Code of Conduct.

Principle 6 - ENVIRONMENT

BUSINESS SHOULD RESPECT, PROTECT AND MAKE EFFORTS TO RESTORE THE ENVIRONMENT

1. Does the policy relate to Principle 6 cover only the Company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others?

The Company is always striving and concentrating its efforts to benefit the environment, not only by making optimal use of existent resources but also by augmenting natural resources. Its policies and efforts are focussed toward addressing the issues posed by climate change, such as energy reduction, water conservation, renewable energy use, waste minimization, and greenery expansion. Sustainable management at all levels of the value chain and throughout the full life cycle of the goods is now an integral aspect of the Company's concept, in addition to the focus on preserving finite resources and decreasing harmful emissions. The Company's Environment, Health and Safety (EHS) Policy covers all employees and stakeholders across all manufacturing units, and it has been displayed both in English and local languages.

2. Does the Company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N.

The Company takes pride in actively and continuously engaging in operational improvements focussed on Environmental sustainability and to address related issues. Some of the initiatives undertaken during the reported period were:

1. Reduction in energy consumption

The Company's operational Baddi Fan Unit-II has reduced electricity consumption from 0.13 kWh Power consumption to 0.11 kWh Power consumption for F.Y. 2021-22. The Company saved 92,489 kWh in F.Y. 2021-22 and to achieve this, exhaust fans were removed from Gold Line Fan Hangers, high bay lights on shop floor were replaced by LED battens.

Bethora plant has reduced power consumption per unit from 0.33 kWh/unit to 0.26 kWh/unit, approx. saving of 297 MWh from last year. This was achieved by providing LED lights, replacing high power consuming pneumatic screw drivers with 35W electrical screw drivers, integrating 5KVA solar panel load to grid power, providing facility of Auto switch off assembly lines during breaks & Auto switch off tapping machines.

Kundaim plant has reduced power consumption per unit from 0.604 kWh /unit to 0.505 kWh/unit, approx. saving of 298 MWh over last year. This was achieved by increase in production, providing LED lights, replacing high power consuming pneumatic screw drivers with 35w electrical screw drivers, providing facility of Auto switch off streetlights.

2. Reduction in water consumption:

The Company's operational Baddi Fans Unit-II has reduced water consumption from 49.9 Ltr/Person/Day to 34.4 Ltr/Person/Day for F.Y. 2021-22. The Company saved 900.9 KL water in F.Y. 2021-22 by installing auto shutoff valves on roof top tanks and re-routing pipelines to prevent water loss.

The Company's operational Baddi Lighting Unit has reduced water consumption from 45.9 Ltr/Person/Day to 40.2 Ltr/Person/Day for F.Y. 2021-22. The Company saved 1076 KL water in F.Y. 2021-22 by identifying and controlling all leakage points in the plant.

Bethora plant has reduced water consumption from 39.1 Ltr/Person/Day to 28.1 Ltr/Person/Day, approx. saving of 1,306 KL over last year. This was achieved by providing aerators & auto sensors for taps, using treated water from STP for flushing & gardening.

Vadodara plant has reduced water consumption from 105 Ltr/Person/Day to 96.16 Ltr/Person/Day, approx. saving of 3,180 KL over last year. This was achieved by replacing corroded pipeline, attend leakages from water pipelines & washrooms.

Energy savings resulting from use of Crompton's Energy efficient products vis-à-vis conventional products

PL	FY 2021-22 (MWh)	FY 2020-21 (MWh)	% Reduction
Fans	98,823	68,051	15%
Lighting (B2B)	1,47,219	58,031	
Lighting (B2C)	8,95,427	8,64,313	
Pumps	27,006	19,985	
Appliances	33,900	31,962	
Total	12,02,375	10,42,342	

3. Does the Company identify and assess potential environmental risks? Y/N

1. The Company has established management systems, certified by accredited agencies in line with International Standards like IMS 45001:2018 and EMS 14001:2015. Identification, assessment, and evaluation of potential environmental risk is a continuous process at all the operational facilities of the Company.
2. The Company's operational units ensure that all hazardous waste is sent to the authorized disposal operator approved by the Pollution Control Board. An authorized recycler approved by CPCB is responsible for E-waste disposal.
3. During the 51st National Safety Week celebrated at Vadodara Plant; 28 workers were certified for firefighting training.
4. For improved safety, the Vadodara Plant has installed a CO2 Flooding System. This will ensure that the Plant has a robust response in the event that electrical equipment, such as a transformer, catches fire.
5. For fall protection, the Vadodara Plant has installed 15 Lifeline systems. This will safeguard the safety of personnel operating on the plant roof sheet and working at height risks.
6. The installation of an advanced addressable central fire detection system at the Ahmednagar factory provides extra fire safety features over the old low-density detection system in the shop, as well as a wireless system in the office and periphery areas.
7. The installation of an XY Rail Crane system on the

assembly line in Ahmednagar prevents ergonomic fatigue for personnel managing greater HP pumps at packing stations and eliminates dangerous conditions.

8. The installation of automatic water filling system for traction batteries in material handling equipment at Ahmednagar plant eliminates the possibility of acid land contamination due to overfilling of water, extends battery life, and eliminates unsafe situations.
- 4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?**

1. The Company continues its contribution towards the Environment by ensuring efficient use of resources and responsible means of waste disposal. The Company's EHS policy commits to establishment and effective execution of Management systems, thereby enabling all the Company's Operational units to be certified with IMS QMS 9001:2015 (Quality Management System), EMS 14001 (Environmental Management Systems) and ISO 45001:2018.
2. For the years 2021-22, the Company followed the appropriate criteria and restrictions for emissions and waste set by the respective SPCB/CPCB and received no show-cause notice. A third party performed a sustainability re-audit for the Company, which resulted in a 94 percent score for health, safety, and the environment.
3. In F.Y. 2021-22, the Ahmednagar facility reduced 172 MT of wood usage by changing the packing of higher HP pumps (7.5 HP to 15 HP) from wooden box to metal crate.
4. The Ahmednagar unit received a Special Appreciation award from the MARG association, headed by a DISH officer, for its contributions to worker safety and health during the COVID-19 Pandemic.

- 5. Has the Company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy, etc. Y/N.**

The Company is cognizant of the need to conserve

energy through clean technology. As part of its core value of operational excellence, the Company continuously strives to achieve efficiency at all its manufacturing facilities, and many of its new initiatives both capital and operational are on the path of effective utilization of resources.

6. Are the Emissions / Waste generated by the Company within the permissible limits given by CPCB / SPCB for the financial year being reported?

The Company has renewed consent to operate for Baddi Fans Unit-I. The Company is complying with the emission norms, filling timely returns and periodic reports are submitted to CPCB and SPCB, as per statutory requirements.

7. Number of show cause / legal notices received from CPCB / SPCB which are pending (i.e., not resolved to satisfaction) as on end of Financial Year.

The Company has not received any show cause/legal notices from CPCB/SPCB during the financial year under review.

PRINCIPLE 7 - POLICY ADVOCACY

BUSINESSES WHEN ENGAGED IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A RESPONSIBLE MANNER

1. Is your Company a member of any trade and chamber or association?

The Company has its representation in several Business and Industrial associations such as the Indian Pump Manufacturers Association (IPMA), Southern India Engineering Manufacturers Association (SIEMA), Indian Fan Manufacturers Association (IFMA), the Advertising Standards Council of India, Indian Society of Advertisers, IMA IP Ltd., Indian Society of Lighting Engineers, Electrical Lamp Manufacturer's Association, Bureau of Indian Standards (BIS), National Lighting Code and Bombay Chambers of Commerce, Bureau of Energy Efficiency (BEE).

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy Security, Water, Food Security, Sustainable Business Principles, Others)

The Company is working with IPMA Core Committee

towards creation of new standards for Solar Pumps. Company has representation in ELCOMA technical committee and BIS ETD committees and GLA (Global Lighting Association) towards upgradation and creation of the LED lighting standards for new applications like UVC and battery backup. Company also has close interactions as ELCOMA core committee member with various Government ministries like MietY, MoEFCC and various associated Industry bodies on PLI schemes, public procurement policy, e-waste, electronic component and budget policies.

PRINCIPLE 8 - INCLUSIVE GROWTH

BUSINESSES SHOULD SUPPORT INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT

1. Does the Company have specified programs / initiatives / projects in pursuit of the policy related to CSR? If yes, details thereof.

The Company's CSR Policy is drawn up on the basic principles of "Responsible Business" and "Shared Value", aligned to the developmental priorities identified by the provisions of Companies Act, 2013. The Policy, *inter alia*, deals with the objectives of the Company's CSR initiatives, the guiding principles, the responsibilities of the CSR Committee, the implementation plan and reporting framework.

UJJVAL DEEP, the Company's CSR programme framework is aligned to its long-term commitment to build positive value for the communities.

Since inception, Crompton has recognized its responsibility towards the society and has remained committed to its role as a responsible corporate citizen. Over the years, Crompton has developed and implemented various programmes to create and enhance shared value through unique, scalable, and sustainable models to achieve this objective.

Focus areas of the Company's CSR initiatives are:

Skill Development

The goal of the Skill Development Program was to create opportunities, scope, and space for the development of the talents of the unprivileged youth by imparting of skills training & placement assistance to the desired candidates to enhance the employability.

Your Company has collaborated with social impact partners to run training centres across the country to provide a 3-months vocational training in mechanical, electrical and plumbing. The theory and practical

trainings are aligned to the National Skill Development Mission as well as the industry requirements.

Your Company supports skilling of youth in Maharashtra and Himachal Pradesh in field of Electrical, Wireman, plumbing and repair of Home Appliances which is aligned to National Skill Development Mission.

This program is specifically designed to help students, who come from different and often, tough backgrounds dealing with harsh problems, build their self-esteem and confidence and help them develop a positive attitude.

Water Conservation

Water, being at the core of sustainable development, has strong linkages with other developmental parameters such as education, health, food security and livelihoods. The program is designed with a conscious effort to increase capacity for water availability by construction, restoration, and rejuvenation of water bodies in rural areas. Our Water conservation interventions are addressing the issue of water security in drought prone villages of Maharashtra, in partnership with grassroot NGO and local self-government institutions.

Health and Response to COVID-19 Pandemic

On 30th January 2020, the World Health Organization (WHO) declared COVID-19 a public health emergency followed by 2nd and 3rd wave which continued to spread negative impact on society.

As a part of the commitment to rise to the occasion when the Nation needs it the most, Your Company had extended its support to Hospitals, COVID-19 Care Centers and to those impacted by pandemic like daily wage workers, people living in slums and rural areas. Your Company has also extended its support to front line workers working relentlessly to fight the pandemic. Focus was also given to post COVID-19 treatment to be provided through Government and Charitable Hospitals.

Community Development

As a responsible corporate citizen, your Company is committed to lend a hand for community upliftment through various initiatives for poverty alleviation, education, and sustainability.

The Company supported distribution of relief material to community from low-income group. Crompton has supported imparting of Citizenship Values and Life Skills development programmes in schools and

colleges to fill this gap. Focus was given to transform education and health care facilities of Government schools, hospitals, and primary health care centres.

Through Ujjwal Deep Scholarship program, financial assistance was provided to students from low-income group. Most the students who availed scholarship were first generation economic change in family.

Employee Engagement

At Crompton, we constantly engage our employees in all our philanthropic initiatives as we strongly believe that human capital is the key for our successes. CSR projects focussing on health, water conservation and skill development were conceptualized, designed, implemented, and monitored by employees based at Plant locations.

2. Are the programmes / projects undertaken through in-house team / own foundation / external NGO / government structures / any other organization?

The Company undertakes projects through Crompton CSR Foundation and other like-minded Organizations.

3. Have you done any impact assessment of your initiative?

An independent organization assessed the impact of CSR activities in 2021-22 and identified areas for improvement. Furthermore, as part of the CSR mandate, the Company expects to continue to assess the impact of its various activities in the following years.

4. Company's direct contribution to community development projects

Details of the projects undertaken are mentioned in the Annual Report on CSR Activities in the Board's Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

The Company ensures its presence is established right from the commencement of the initiatives. It collaborates with the communities right from need identification to project implementation. All projects have clear feedback mechanisms weaved into them, with a focus on long-term sustainability and active community ownership. It is ensured that trainees participating in skill development programme get employment post completion of training.

PRINCIPLE 9 - CUSTOMER VALUE

Businesses should engage with and provide value to their customers and consumers in a responsible manner.

1. What percentage of customer complaints / consumer cases are pending as on the end of financial year?

1. The Company has a well-established system to handle customer complaints and feedback. Consumers can provide their feedback or lodge product-related complaints through a designated email id i.e., consumer. support@crompton.co.in and call center toll-free no. 1800 4190 505.
2. During the year, the Company received a total of 29,48,560 product-related customer complaints, out of which, 29,47,261 complaints were successfully resolved. Out of the total complaints received during the year, 23,65,265 were within stipulated warranty period and out of these 23,64,969 were successfully resolved as on 31st March, 2022.

There were 31 consumer-related legal cases pending as on 31st March, 2022.

0.044% of the total complaints received during the year were pending as on the end of the financial year.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes / No / N.A. / Remarks (additional information)

All the Company's products carry the information required under the Legal Metrology Act, 2009. All

Labels and Artwork are approved and docketed in a digitized manner through a tool known as Artwork Management System across all PLs and the After-Sales Service Team.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.

Nil

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

Yes, Company carried out below surveys:

1. Brand related survey
 - i. Health of the Brand.
 - ii. Equity of the Brand.
2. Consumer understanding
 - i. Uses and attitude
 - ii. Segmentation
3. Product Development
4. Communication Development
5. Retail Track